

PRIVATE & CONFIDENTIAL

Date

Borrower:

DISCUSSION PAPER

Re: Manulife Bank of Canada - Immediate Financing Arrangement Commercial Investment Line of Credit
(the “**Line of Credit**”)

The proposed terms and conditions summarized herein are provided for discussion purposes only and do not constitute an offer, agreement or commitment to lend. The actual terms and conditions on which Manulife Bank of Canada might extend credit as lender to the Borrower are subject to our satisfactory review and subsequent credit approval of the Borrower and all relevant information the Bank deems relevant about the Borrower, including but not limited to operational, financial and environmental information and any other matters as determined by the Bank, including the execution and delivery of definitive loan documentation. This Discussion Paper is to be held confidential and its terms may not be shared with outside parties. All dollar amounts are in Canadian unless expressly stated otherwise.

BORROWER

- , referred to as the “**Borrower**”.

**CORPORATE
GUARANTOR**

- . “**Corporate Guarantor**”.

**PERSONAL
GUARANTOR**

- , referred to as the “**Personal Guarantor**”.

[The Personal Guarantor and the Corporate Guarantor are collectively known as the “**Guarantors**” and each a “**Guarantor**”.] [INCLUDE IF APPLICABLE]

LENDER

Manulife Bank of Canada, referred to as the “**Bank**”.

FACILITIES:

Immediate Financing Arrangement Commercial Investment Line of Credit

LIFE POLICY

Life Insurance Policy #●, issued by ● Manulife on the life of ● and owned by the [Borrower/Personal Guarantor/Corporate Guarantor] (the “**Life Policy**”).

CREDIT LIMIT

The maximum credit limit at any time \$● amount. Collateral Security to be determined and will be set out in definitive loan documentation [unless specifics are known (insert)].

ADVANCES

Advances may be made once per year.

INTEREST RATE

The Bank’s prime rate + ●.00%. The Bank’s prime rate is the Bank’s demand loan prime interest rate for Canadian dollar loans in Canada as quoted by the Bank from time to time (the “**Prime Rate**”). The Prime Rate as of the date of this Discussion Paper is ●2.45%.

REPAYMENT

Repayable on demand by the Bank, interest paid monthly.

PREPAYMENT

Fully open and repayable at any time with no pre-payment penalty.

DOCUMENTS

2 years notice of assessment for all owners confirming no tax arrears.
Verification of assets as detailed in the personal net worth statement.
Organizational chart.
IFA illustration at scale -1% and 5% interest rate.
Confirmation of ancillary collateral
Any other documents deemed necessary by the Bank.

SECURITY

Usual and customary for this type of transaction, each in form and substance satisfactory to the Bank. The Borrower and any Guarantor each agrees to provide the applicable security described below (the “**Security**”), all in form and substance acceptable to the Bank and registered where required to constitute a first ranking security interest:

Borrower

1. Assignment of the Life Policy OR Hypothec on the Life Policy registered at the *Register of Personal and Movable Real Rights* (the “**RPMRR**”) in a first priority position.
2. [Pledge of Securities and/or [Hypothecation of Account Balance and/or [letter of credit and/or life insurance in a minimum gross amount of \$TBD registered under the *Personal Property Security Act* (the “**PPSA**”) or RPMRR in a first priority position.

Corporate Guarantor

3. Guarantee of the Corporate Guarantor.
4. Assignment of the Life Policy OR Hypothec on the Life Policy registered at the RPMRR in a first priority position.

Personal Guarantor

5. Guarantee of the Personal Guarantor [supported by Certificate of Independent Legal Advice].
6. Assignment of the Life OR Hypothec on the Life Policy registered in a first priority position.
7. Such other security and documentation as may be reasonably required by the Bank.

REPRESENTATIONS AND WARRANTIES

Usual and customary for this type of transaction.

COVENANTS

Usual and customary for this type of transaction.

Financial Covenants

The Borrower [and/or Corporate Guarantor] shall maintain a minimum Debt Service Coverage Ratio of 120% at all times. OR The Borrower shall maintain a maximum Total Debt Service Ratio of 40%.

**EVENTS OF
DEFAULTS**

Usual and customary for this type of transaction.

LEGAL FEES

All legal fees (incurred by the Borrower's counsel and the Bank's counsel) related to this transaction and any enforcement of the Security are the full responsibility and for the account of the Borrower.

**ARRANGEMENT
FEE**

The Borrower shall pay an **Arrangement Fee** of up to \$● (●25 basis points based on the maximum projected Credit Limit of \$●). The Credit Limit is subject to change prior to the Bank's Approval, and in such event the Arrangement Fee will be revised accordingly. The Arrangement Fee is payable and will be charged upon Approval by the Bank.

The Arrangement Fee is non-refundable, except that it may be refunded in part if the Credit Limit is reduced following Approval.

**ANNUAL REVIEW
FEE**

\$ ● 500- due and payable annually [on the anniversary date hereof].

**ADMINISTRATION
CHARGES**

In the event any requirement to deliver information required in connection with the definitive loan documentation is not complied with, the Bank may, at its discretion, apply administrative charges as defined therein.